M&G (Lux) Emerging Markets Bond Fund

EUR Class A – Accumulation shares

Fund Factsheet as at 31 August 2026

Marketing Communication

Fund description

The fund aims to provide combined income and capital growth that is higher than that of the global emerging markets bond market (as measured by a composite index comprising 1/3 JPM EMBI Global Diversified Index, 1/3 JPM CEMBI Broad Diversified Index and 1/3 JPM GBI-EM Global Diversified Index), over any three-year period, while applying ESG criteria. At least 80% of the fund is invested in bonds issued by governments and companies in emerging markets. It can also invest in emerging market currencies. Investments are selected based on an assessment of global, regional, and country-specific macroeconomic factors, followed by in-depth analysis of individual bond issuers. The fund invests in securities that meet the ESG criteria, applying an exclusionary approach as described in the prospectus. The recommended holding period of this fund is three years. In normal market conditions, the fund's expected average leverage – how much it can increase its investment position by borrowing money or using derivatives – is 150% of its net asset value.

The main risks associated with this fund

The value and income from the fund's assets will go down as well as up. This will cause the value of your investment to fall as well as rise. There is no guarantee that the fund will achieve its objective and you may get back less than you originally invested.

Investing in emerging markets involves a greater risk of loss due to greater political, tax, economic, foreign exchange, liquidity and regulatory risks, among other factors. There may be difficulties in buying, selling, safekeeping or valuing investments in such countries.

Investments in bonds are affected by interest rates, inflation and credit ratings. It is possible that bond issuers will not pay interest or return the capital. All of these events can reduce the value of bonds held by the fund.

The fund can be exposed to different currencies. Movements in currency exchange rates may adversely affect the value of your investment.

The fund may use derivatives to profit from an expected rise or fall in the value of an asset. Should the asset's value vary in an unexpected way, the fund will incur a loss. The fund's use of derivatives may be extensive and exceed the value of its assets (leverage). This has the effect of magnifying the size of losses and gains, resulting in greater fluctuations in the value of the fund.

Investing in this fund means acquiring units or shares in a fund, and not in a given underlying asset such as building or shares of a company, as these are only the underlying assets owned by the fund.

Further risk factors that apply to the fund can be found in the fund's Prospectus.

Duration by currency and asset class (years)

	Physical	Futures	Swaps	Net
Euro	0,6	0,0	0,0	0,6
British pound	0,0	0,0	0,0	0,0
US dollar	3,3	0,0	0,0	3,3
Other	2,0	0,0	0,0	2,0
Total	5,9	0,0	0,0	5,9

Maturity breakdown (%)

	Physical
0 - 1 years	2,9
1 - 3 years	9,4
3 - 5 years	15,2
5 - 7 years	16,9
7 - 10 years	19,7
10 - 15 years	16,9
15+ years	16,3
Cash	2,5
Other	0,2

Key information

Fund manager(s)	Charles de Quinsonas, Nick Smallwood, Carlos Carranza
Fund manager tenure from	01 March 2024
ISIN	LU1670631016
Launch date of fund	17 September 2018
Launch of share class	21 September 2018
Fund size (millions)	€ 3.441,16
Fund type	SICAV
Benchmark	1/3 JPM EMBI Global Diversified Index, 1/3 JPM CEMBI Broad Diversified Index, 1/3 JPM GBI-EM Global Diversified Index
Sector	Morningstar Global Emerging Markets Bond sector
Number of issuers	209
Average credit rating[1]	BBB-
Modified duration (years)	5,89
Yield to maturity	7,95%
Yield to worst	7,78%
SFDR Article Classification	8
Recommended Holding Period	3 years

'Manager tenure' includes the period when managing an equivalent UK-authorised OEIC. Please see 'Important information' at the end of this document for further details.

[1]See important information section for explanation of average credit rating methodology.

The yield-to-maturity (YTM) figure shown here is calculated on a monthly basis. It shows the weighted average long term total yield of all the instruments held by the fund, assuming that all coupon payments are made – and reinvested at the same rate as the bond's current yield – and all principal payments are made. The figure is expressed as an annual rate.

The yield-to-worst (YTW) figure shown here is calculated on a monthly basis. This is a measure of the lowest potential weighted average yield of the instruments held in the fund. This metric can be used to evaluate the worst-case scenario for yield at the earliest allowable retirement date of the bonds held. This figure will be less than the YTM given the shortened investment horizon. The figure is expressed as an annual rate.

Charges

Maximum entry charge	4,00%
Management fees and other costs	1,43%
Transaction costs	0,15%

Risk profile

Lower — Higher

1	2	**3**	4	5	6	7

The summary risk indicator is a guide to the level of risk of this product compared to other products. It shows how likely it is that the product may lose money because of movements in the markets or because we are not able to pay you. We have classified this product as 3 out of 7, which is a medium-low risk class.

Fund ratings as at 31 August 2026

Morningstar Medalist Rating™

Neutral™

Analyst-Driven %

10

Data Coverage %

96

Overall Morningstar rating ★★★★

Source of Morningstar ratings: Morningstar

Ratings should not be taken as a recommendation.

Contact

Luxembourg

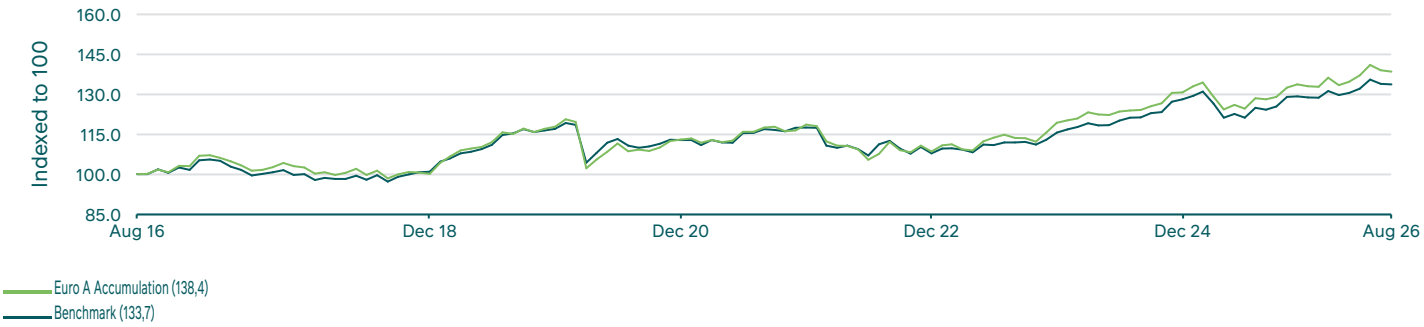
www.mandg.com/investments/lu

Past performance is not a guide to future performance.

Single year performance (10 years)

From	YTD to QTR end	01/09/25	01/09/24	01/09/23	01/09/22	01/09/21	01/09/20	01/09/19	01/09/18	01/09/17	01/09/16
To		31/08/26	31/08/25	31/08/24	31/08/23	31/08/22	31/08/21	31/08/20	31/08/19	31/08/18	31/08/17
Euro A Accumulation	6,0%	8,1%	3,2%	9,3%	1,4%	-4,6%	7,6%	-5,1%	17,0%	-3,2%	1,6%
Benchmark	5,2%	7,6%	2,4%	8,4%	-0,5%	-3,8%	6,4%	-4,7%	18,6%	-2,9%	0,1%

Performance over 10 years



Euro A Accumulation (138,4)
Benchmark (133,7)

The benchmark is a comparator against which the fund's performance can be measured. The composite index has been chosen as the fund's benchmark as it best reflects the scope of the fund's investment policy. The benchmark is used solely to measure the fund's performance and does not constrain the fund's portfolio construction.
The fund is actively managed. The investment manager has complete freedom in choosing which investments to buy, hold and sell in the fund. The fund's holdings may deviate significantly from the benchmark's constituents.

Fund performance prior to 21 September 2018 is that of the EUR Class A Accumulation of the M&G Emerging Markets Bond Fund (a UK-authorised OEIC), which merged into this fund on 7 December 2018. Tax rates and charges may differ.
Benchmark performance is shown from the start of manager's tenure of the OEIC, which was 2 December 2013.

Source: Morningstar, Inc and M&G, as at 31 August 2026. Returns are calculated on a price to price basis with income reinvested. Benchmark returns stated in EUR terms.

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Fund codes and charges

Share class	ISIN	Bloomberg	Currency	Share class launch date	Management fees and other costs	Distribution yield	Minimum initial investment	Minimum top up investment
Euro A Acc	LU1670631016	MGLEEAA LX	EUR	21/09/2018	1,43%	-	€1.000	€75
Euro A Inc	LU1670631107	MGLEEAD LX	EUR	21/09/2018	1,43%	7,56%	€1.000	€75
Euro A-H Acc	LU1670631289	MGLEAHA LX	EUR	21/09/2018	1,45%	-	€1.000	€75
Euro A-H Inc	LU1670631362	MGLEAHD LX	EUR	21/09/2018	1,45%	7,43%	€1.000	€75
Euro B Acc	LU1670631446	MGLEEBA LX	EUR	21/09/2018	1,93%	-	€1.000	€75
Euro B Inc	LU1670631529	MGLEEBD LX	EUR	21/09/2018	1,93%	7,57%	€1.000	€75
Euro B-H Acc	LU1670631792	MGLEBHA LX	EUR	21/09/2018	1,95%	-	€1.000	€75
Euro B-H Inc	LU1670631875	MGLEBHD LX	EUR	21/09/2018	1,95%	7,44%	€1.000	€75
Euro C Acc	LU1670631958	MGLEECA LX	EUR	21/09/2018	0,78%	-	€500.000	€50.000
Euro C Inc	LU1670632097	MGLEECD LX	EUR	21/09/2018	0,78%	7,56%	€500.000	€50.000
Euro C-H Acc	LU1670632170	MGLECHA LX	EUR	21/09/2018	0,80%	-	€500.000	€50.000
Euro C-H Inc	LU1670632253	MGLECHD LX	EUR	21/09/2018	0,80%	7,43%	€500.000	€50.000
Euro CI Acc	LU1797810345	MGLEECI LX	EUR	21/09/2018	0,74%	-	€500.000	€50.000
Euro CI-H Acc	LU1797810691	MGLCIHA LX	EUR	21/09/2018	0,76%	-	€500.000	€50.000
Euro CI-H Inc	LU1797810774	MGLCIHD LX	EUR	16/04/2020	0,78%	7,43%	€500.000	€50.000

Management fees and other administrative or operating costs figures disclosed above include direct costs to the fund, such as the annual management charge (AMC), administration charge and custodian charge, based on expenses for the period ending 31 March 2026. Any ongoing costs figure with* indicates an estimate. Not all costs are presented. The fund's annual report for each financial year will include details of the exact charges. Please note that not all of the share classes listed above might be available in your country. Please see the 'Important information' at the end of this document, the fund`s Prospectus and the KID for more information on the risks associated with this fund and which share classes are available for which product and which investor type.

Industry breakdown (%)

	Physical	Short (via CDS)	Long (via CDS)	Net
Sovereign	34,5	0,0	0,0	34,5
Foreign Sovereign	29,8	0,0	0,0	29,8
Banking	7,0	0,0	0,0	7,0
Energy	4,6	0,0	0,0	4,6
Supranational	3,5	0,0	0,0	3,5
Basic industry	3,3	0,0	0,0	3,3
Utility	2,8	0,0	0,0	2,8
Agency	2,2	0,0	0,0	2,2
Telecommunications	1,8	0,0	0,0	1,8
Financial services	1,6	0,0	0,0	1,6
Real Estate	1,3	0,0	0,0	1,3
Transportation	0,8	0,0	0,0	0,8
Technology & electronics	0,7	0,0	0,0	0,7
Consumer goods	0,6	0,0	0,0	0,6
Government Guaranteed	0,6	0,0	0,0	0,6
Local-Authority	0,5	0,0	0,0	0,5
Retail	0,4	0,0	0,0	0,4
Insurance	0,4	0,0	0,0	0,4
Healthcare	0,4	0,0	0,0	0,4
Media	0,3	0,0	0,0	0,3
Automotive	0,2	0,0	0,0	0,2
Services	0,2	0,0	0,0	0,2
Equity	0,0	0,0	0,0	0,0
Cash	2,5	0,0	0,0	2,5

Currency breakdown (%)

	Fund
US dollar	60,1
Mexican peso	3,5
Euro	3,2
Indian rupee	3,1
Malaysian ringgit	3,0
South African rand	2,9
Polish zloty	2,8
Brazilian real	2,6
Indonesian rupiah	2,6
Other	16,3

Credit rating breakdown (%)

	Physical	Short (via CDS)	Long (via CDS)	Net
AAA	3,1	0,0	0,0	3,1
AA	3,9	0,0	0,0	3,9
A	11,1	0,0	0,0	11,1
BBB	30,2	0,0	0,0	30,2
BB	32,3	0,0	0,0	32,3
B	13,0	0,0	0,0	13,0
CCC	2,7	0,0	0,0	2,7
CC	0,0	0,0	0,0	0,0
C	0,2	0,0	0,0	0,2
D	0,1	0,0	0,0	0,1
No rating	0,9	0,0	0,0	0,9
Cash	2,5	0,0	0,0	2,5

A mid-average credit rating for each security, where available from S&P, Fitch, Moody's, is calculated. Where a security has not been rated by S&P, Fitch or Moody's, we may use M&G's internal credit rating. Ratings should not be taken as a recommendation.

Geographic breakdown (%)

	Physical	Short (via CDS)	Long (via CDS)	Net
Mexico	6,2	0,0	0,0	6,2
Brazil	5,1	0,0	0,0	5,1
Turkey	4,7	0,0	0,0	4,7
South Africa	4,4	0,0	0,0	4,4
Colombia	3,7	0,0	0,0	3,7
Supranational	3,5	0,0	0,0	3,5
Poland	3,5	0,0	0,0	3,5
Indonesia	3,1	0,0	0,0	3,1
Other	63,3	0,0	0,0	63,3
Cash	2,5	0,0	0,0	2,5

Largest issuers (%)

	Fund
Mexico	4,4
South Africa	4,3
Turkey	3,0
Malaysia	3,0
Poland	2,8
Colombia	2,7
Hungary	2,6
Indonesia	2,6
Brazil Notas DO Tesouro Nacional Serie F	2,4
Dominican Republic	2,0

Asset breakdown (%)

	Physical	Short (via CDS)	Long (via CDS)	Net
Government bonds - local currency	32,6	0,0	0,0	32,6
Government bonds - hard currency	31,7	0,0	0,0	31,7
Credit - local currency	3,8	0,0	0,0	3,8
Credit - hard currency	29,4	0,0	0,0	29,4
Other	**0,0**	**0,0**	**0,0**	**0,0**
Cash	**2,5**	**0,0**	**0,0**	**2,5**

Approach to responsible investment

	Yes	No	N/A
ESG integration	✓		
Additional ESG specifications		✓	
Exclusions	✓		
Cluster munitions & anti personnel landmines	✓		
Other exclusions or restrictions		✓	
Voting			✓
Engagement	✓		

Please see glossary for further explanation of these terms.

SFDR Article Classification: Article 8 fund. The decision to invest in this fund should be based on all objectives and characteristics and not solely its non-financial objectives and characteristics.

Climate Metrics

	Weighted Average Carbon Intensity (tCO_2e /US$m sales)	Coverage by portfolio weight (%)
Euro A Accumulation	214,28	80,07%

Source: We use a variety of data sources to gather and map the carbon emissions of our funds. This allows for data gaps from some data providers on some issuers. We currently use MSCI as our main third-party data provider for carbon intensity data as we consider its coverage to be the broadest of the current providers.

ESG Standard Glossary

Additional ESG specifications: In the context of M&G, these are funds that are managed in accordance with specific ESG criteria or, where relevant, with an explicit ESG objective. They will have a number of minimum exclusions in place.
Engagement: Interaction with company management on various financial and non-financial, including ESG, issues. Engagement allows investors to better understand how a company is undertaking its operations and how it is interacting with its stakeholders, as well as advising on and influencing company behaviour and disclosures where appropriate.
ESG integration: Describes the explicit and systematic inclusion of Environmental, Social and Governance factors in investment analysis and investment decisions. It underpins a responsible investment approach, and allows investors to better manage risk and generate sustainable, long-term returns.
Exclusions: The exclusion or restriction of investments based on the sector in which they operate, the products or services they provide or for other specific criteria, i.e. they are deemed to be in breach of the United Nations Global Compact principles on human rights, labour the environment and anti-corruption.
Voting: As the partial owners of a company, shareholders have the right to vote on resolutions put forward at a company's annual general meeting. These resolutions include the re-election of directors, executive remuneration and business strategy, among others, and may include resolutions put forward by shareholders.

Explanation of our climate metrics

The Weighted Average Carbon Intensity (WACI) is the metric used to report our funds' carbon emissions. It is a measure of how much CO2 is being emitted per US$ million of sales by each company that the fund invests in. This can be used to determine the likely effect a company is having on the environment. It can also help to compare the impact different companies have on the environment, and to compare companies against the broad market or the financial benchmark for the fund. However, this metric does not take into account the difference in carbon characteristics among sectors.
The WACI metric is one of many greenhouse gas emissions data points, each offering a different aspect of analysis on climate impact. M&G have selected this metric as it is applicable to multi-asset, equity and fixed income funds and it is aligned to the recommendations from the Taskforce for Climate Related Financial Disclosures (TCFD). It has also been chosen to align with M&G's groupwide target of transparency when it comes to the disclosure of climate emissions.
For the avoidance of doubt, this fund is not managed to a carbon emission objective and, the benchmark WACI (should funds have a benchmark) has been included for information purposes only.

Important information

On 7 December 2018 the non-sterling assets of the M&G Emerging Markets Bond Fund, a UK-authorised OEIC which launched on 15 October 1999, merged into the M&G (Lux) Emerging Markets Bond Fund, a Luxembourg-authorised SICAV, which launched on 17 September 2018. The SICAV is run by the same fund manager, applying the same investment strategy, as the UK-authorised OEIC.

For the avoidance of doubt, for fixed income funds, we count different entities belonging to the same company as separate issuers to arrive at the number of issuers in the fund, as shown under the key information section.[1]The fund's average credit rating uses a mid-average rating (S&P, Fitch, Moody's or M&G's internal rating if no rating is available from these ratings agencies) of securities held by the fund. It excludes some derivatives that are used for efficient portfolio management only. Ratings should not be taken as a recommendation.

The M&G (Lux) Emerging Markets Bond Fund is a sub-fund of M&G (Lux) Investment Funds 1.

The Morningstar Overall Rating based on the fund's Euro Class A shares. Copyright © 2026 Morningstar UK Limited. All Rights Reserved. Ratings should not be taken as recommendation.

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Before subscribing you should read the Key Information Document and the Prospectus, which includes a description of the investment risks relating to these funds. The information contained herein is not a substitute for independent investment advice. M&G Luxembourg S.A. may terminate arrangements for marketing under the new Cross-Border Distribution Directive denotification process. Complaints handling information and summary of investors' rights are available in English from www.mandg.com/investments/private-investor/en-lu/complaints-dealing-process
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Glossary

This glossary provides an explanation of terms used in this factsheet. It may include terms that do not apply to this fund.

Accumulation shares: A type of share where distributions are automatically reinvested and reflected in the value of the shares.
Asset allocation: Allocating a portfolio's assets according to risk tolerance and investment goals.
Asset-backed securities: Bonds (fixed income securities) backed by assets that produce cashflows, such as mortgage loans, credit card receivables and auto loans.
Benchmark (Constraint): The portfolio must replicate the securities contained in the benchmark and their weights. The benchmark can be an index or a sector. Depending on the fund's mandate, the managers can replicate the positions directly or via derivatives, which are instruments whose value is derived from that of an underlying security or pool of securities.
Benchmark (Target): A benchmark, such as an index or sector, which the fund managers aim to match or exceed. The managers have freedom in choosing the securities and strategy by which they do so.
Benchmark: Measure, such as an index or sector, against which a portfolio's performance is judged.
Benchmark (Comparator): The fund managers choose the benchmark, which may be an index or a sector, as a comparator for the fund's performance, but they do not have to replicate its composition. The benchmark is not used for any other purpose, such as, for example, to serve as a reference when setting performance fees.
Bond: A loan in the form of a security, usually issued by a government or company. It normally pays a fixed rate of interest (also known as a coupon) over a given time period, at the end of which the initial amount borrowed is repaid.
Cash equivalents: Deposits or investments with similar characteristics to cash.
Consumer prices index (CPI): An index used to measure inflation, or the rate at which prices for a basket of goods and services bought by households change. The contents of the basket are meant to be representative of products and services consumers typically spend money on, and are updated regularly.
Convertible bonds: Fixed income securities (bonds) that can be exchanged for predetermined amounts of company shares at certain times during their life.
Corporate bonds: Fixed income securities issued by a company. They are also known as bonds and can offer higher interest payments than bonds issued by governments as they are often considered more risky. Also referred to by investors as "credit."
Coupon: The interest paid by the government or company that has raised a loan by selling bonds. It is usually a fixed amount, calculated as a percentage of the total loan and paid out at regular intervals.
Credit default swap (CDS): An insurance-like contract that allows an investor to transfer the default risk of a bond to another investor. The buyer of the CDS pays regular premiums to the seller, who has to reimburse the buyer in the event of the underlying bond defaulting. A CDS is a type of derivative – a financial instrument whose value and price is dependent on the underlying asset.
Credit rating agency: A company that analyses the financial strength of issuers of fixed income securities (bonds) and attaches a rating to their debt. Examples include Standard & Poor's, Moody's and Fitch.
Derivatives: Financial instruments whose value and price depend on one or more underlying assets. Derivatives can be used to gain exposure to, or to help protect against, expected changes in the value of the underlying investments. Derivatives may be traded on a regulated exchange or directly between two parties (over the counter).
Distribution yield: The amount that is expected to be distributed by the fund over the next 12 months expressed as a percentage of the share price as at a certain date. It is based on the expected gross income from the current portfolio calculated in accordance with the fund's distribution polices less the ongoing charges where they are deducted from income.
Dividend yield: Annual income distributed by a company as a percentage of its share price as at a certain date.
Duration: A measure of the sensitivity of a fixed income security (bond) or bond fund to changes in interest rates. The longer a bond or bond fund's duration, the more sensitive it is to interest rate movements.
Emerging economy or market: Country in the process of catching up with developed economies, with rapid growth and increasing industrialisation. Investments in emerging markets are generally considered to be riskier than those in developed markets.
Equities: Shares of ownership in a company. They offer investors participation in the company's potential profits, but also the risk of losing all their investment if the company goes bankrupt.
Ex-dividend, ex-distribution or xd date: The date on which declared distributions officially belong to underlying investors. On the XD date, the stock's price usually falls by the amount of the dividend, reflecting the payout.
Exposure: The proportion of a fund invested in a particular share/fixed income security/index, sector/region, usually expressed as a percentage of the overall fund.
Fixed income security: A loan in the form of a security, usually issued by a government or company, which normally pays a fixed rate of interest over a given time period, at the end of which the initial amount borrowed is repaid. Also referred to as a bond.
Floating rate notes (FRNs): Securities whose interest (income) payments are periodically adjusted depending on the change in a reference interest rate.
Gilts: Fixed income securities issued by the UK government. They are called gilts because they used to be issued on gilt-edged paper.
Government bonds: Loans issued in the form of fixed income securities by governments. They normally pay a fixed rate of interest over a given time period, at the end of which the initial investment is repaid.
Hard currency (bonds): Fixed income securities (bonds) denominated in a highly traded, relatively stable international currency, rather than in the bond issuer's local currency. Bonds issued in a more stable hard currency, such as the US dollar, can be more attractive to investors where there are concerns that the local currency could lose value over time, eroding the value of bonds and their income.
Hedging: A method of reducing unnecessary or unintended risk.
High yield bonds: Loans taken out in the form of fixed income securities issued by companies with a low credit rating from a recognised credit rating agency. They are considered to be at higher risk of default than better-quality, higher-rated fixed income securities, but they have the potential for higher rewards. Default means that a bond issuer is unable to meet interest payments or repay the initial amount borrowed at the end of a security's life.
Historic yield: The historic yield reflects distributions declared over the past 12 months as a percentage of the share price as at the date shown.
Income shares: A type of share where distributions (also called dividends) are paid out as cash on the payment date.
Index-linked bonds: Fixed income securities where both the value of the loan and the interest payments are adjusted in line with inflation over the life of the security. Also referred to as inflation-linked bonds.
Investment association (IA): The UK trade body that represents fund managers. It works with investment managers, liaising with government on matters of taxation and regulation, and also aims to help investors understand the industry and the investment options available to them.
Investment grade bonds: Fixed income securities issued by a government or company with a medium or high credit rating from a recognised credit rating agency. They are considered to be at lower risk of default than those issued by issuers with lower credit ratings. Default means that a borrower is unable to meet interest payments or repay the initial investment amount at the end of a security's life.
Leverage: When referring to a company, leverage is the level of a company's debt in relation to its assets. A company with significantly more debt than capital is considered to be leveraged. It can also refer to a fund that borrows money or uses derivatives to magnify an investment position.
Local currency bonds: Bonds denominated in the currency of the issuer's country, rather than in a highly traded international 'hard' currency, such as the US dollar. The value of local currency bonds tends to fluctuate more than that of bonds issued in a hard currency, as these currencies tend to be less stable.
Long position (exposure): Holding a security in the expectation that its value will rise.
Maturity: The length of time until the initial amount invested in a fixed income security is due to be repaid to the holder of the security.
Modified duration: A measure of the sensitivity of a bond, or bond fund, to changes in interest rates, expressed in years. The longer a bond or bond fund's duration, the more sensitive it is to interest rate movements.
Near cash: Deposits or investments with similar characteristics to cash.
Net asset value (NAV): The current value of the fund's assets minus its liabilities.
Ongoing charge figure: The ongoing charge figure represents the operating costs investors can reasonably expect to pay under normal circumstances.
Open-ended investment company (OEIC): A type of managed fund whose value is directly linked to the value of the fund's underlying investments. The fund creates or cancels shares depending on whether investors want to redeem or purchase them.
Options: Financial contracts that offer the right, but not the obligation, to buy or sell an asset at a given price on or before a given date in the future.
Payment date: The date on which distributions will be paid by the fund to investors, usually the last business day of the month.
Physical assets: An item of value that has tangible existence; for example cash, equipment, inventory or real estate. Physical assets can also refer to securities, such as company shares or fixed income securities.
Property expense ratio: Property expenses are the operating expenses that relate to the management of the property assets in the portfolio. These include: insurance and rates, rent review and lease renewal costs and maintenance and repairs, but not improvements. They depend on the level of activity taking place within the fund. The Property Expense Ratio is the ratio of property expenses to the fund's net asset value.
Retail prices index (RPI): A UK inflation index that measures the rate of change of prices for a basket of goods and services in the UK, including mortgage payments and council tax.
Share class hedging: Activities undertaken in respect of hedged shares to mitigate the impact on performance of exchange rate movements between the fund's currency exposure and the investor's chosen currency.
Share class: Type of fund shares held by investors in a fund (share classes differ by levels of charge and/or by other features such as hedging against currency risk). Each M&G fund has different share classes, such as A, R and I. Each has a different level of charges and minimum investment. Details on charges and minimum investments can be found in the fund's Prospectus.
Share: An ownership stake in a company, usually in the form of a security. Also called equity. Shares offer investors participation in the company's potential profits, but also the risk of losing all their investment if the company goes bankrupt.
Short position (exposure): A way for an investor to express their view that the market might fall in value.
SICAV: In French, it stands for société d'investissement à capital variable. It is the western European version of an open-ended collective investment fund, much like an OEIC. Common in Luxembourg, Switzerland, Italy and France, and regulated by regulators in the European Union.
Swap: A swap is a derivative contract where two parties agree to exchange separate streams of cashflows. A common type of swap is an interest rate swap, where one party swaps cashflows based on variable interest rates for those based on a fixed interest rate, to hedge against interest rate risk.
UCITS: Stands for Undertakings for Collective Investments in Transferable Securities. This is the European regulatory framework for an investment vehicle that can be marketed across the European Union and is designed to enhance the single market in financial assets while maintaining high levels of investor protection.
Underlying yield: The amount that is expected to be earned by the fund over the next 12 months expressed as a percentage of the share price as at a certain date. It is based on the expected gross income from the current portfolio calculated in accordance with the fund's accounting policies less all ongoing charges.
Unit trust: A type of managed fund whose value is directly linked to the value of the fund's underlying investments and which is structured as a trust, rather than as a company.
United Nations Global Compact: A United Nations initiative to encourage businesses worldwide to adopt sustainable and socially responsible policies and to report on their implementation.
Valuation: The worth of an asset or company, based on the present value of the cashflows it will generate.
Yield: This refers to either the interest received from a fixed income security or to the dividends received from a share. It is usually expressed as a percentage based on the investment's costs, its current market value or its face value. Dividends represent a share in the profits of a company and are paid out to the company's shareholders at set times of the year.

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